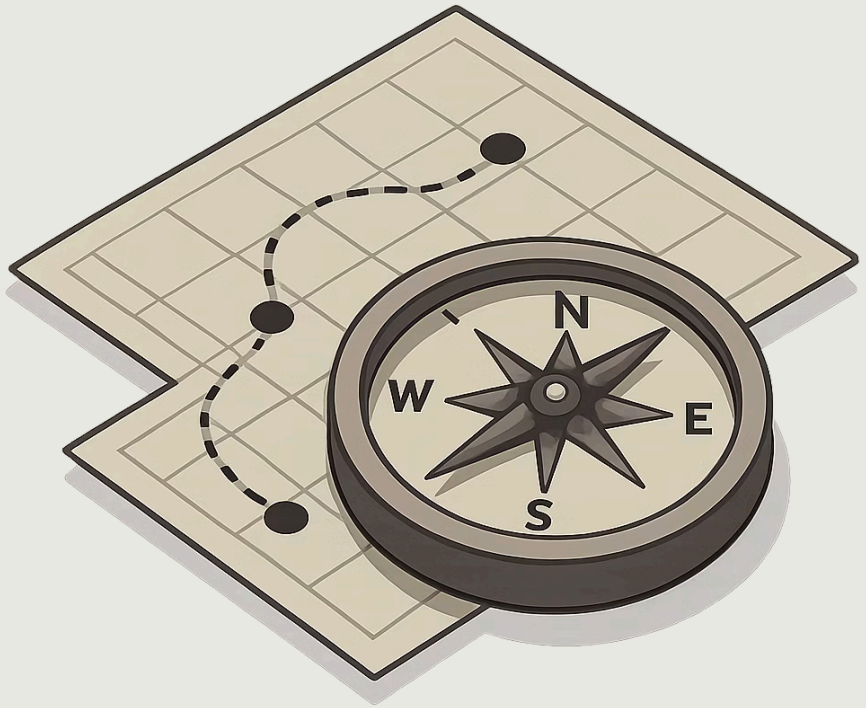
From One Customer to a Real Market

Customer Decisions, Market Size, and Positioning — a practical framework for founders moving from hypothesis to commercially viable opportunity.

GO-TO-MARKET STRATEGY



Guita Gopalan

Founder of Agyle Brands, a venture builder working in the consumer goods space.

Specializing at the intersection of business strategy, innovation, and venture building.

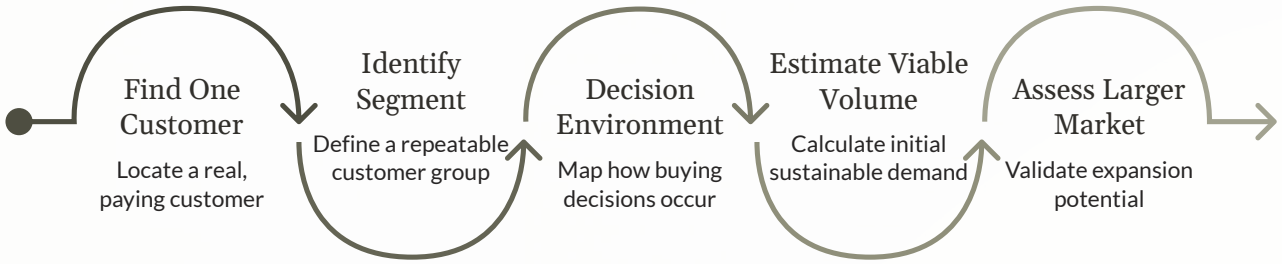
A Market Is Not a Number

"A market is a group of people making decisions in a particular environment."

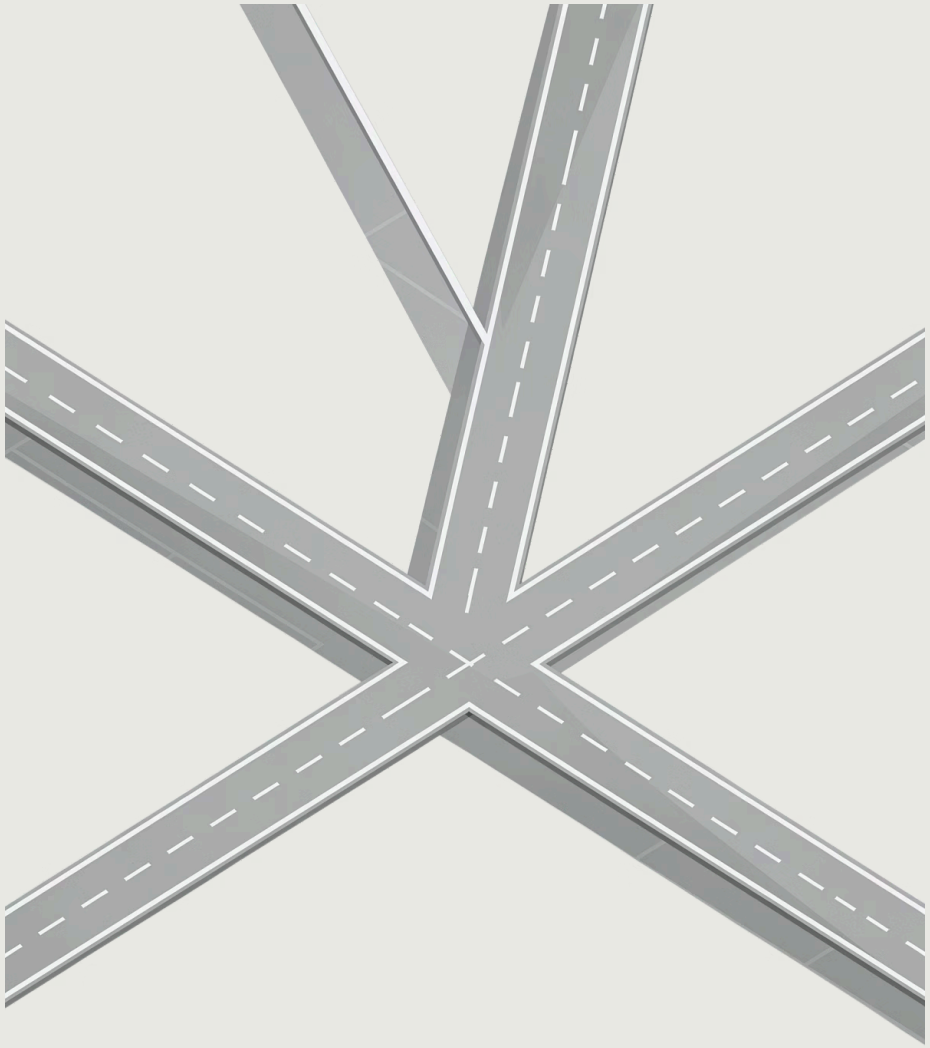
Big market numbers are seductive — but they are not proof of opportunity. A large TAM does not make your venture credible. What makes it credible is the ability to find, convince, and serve a real customer.

> If you cannot convince one customer, claiming one million customers exist is meaningless.

The Logical Journey of Market Discovery



This sequence forces discipline. Each step builds on evidence from the previous one — anchoring market analysis in real customer behavior rather than desk research alone.



Three Distinct Market Concepts

Most founders conflate these. Keeping them separate sharpens both strategy and resource allocation.

Theoretical Market Size

Everyone who could plausibly need and pay for this type of solution — a ceiling, not a target.

Commercially Reachable Opportunity

Customers your current product, geography, price point, and distribution can actually serve today.

Immediate Survival Market

The minimum volume of customers you must win to operate, learn, and survive the first phase.



Who Is the Customer? Start With Description

Demographics describe the customer. Psychographics help explain them. Behavior and context help predict what they will actually do.

For Consumers

- **Demographics:** age, income, location, life stage
- **Psychographics:** priorities, identity, fears, aspirations
- **Behavior:** what they buy, use, avoid, or tolerate
- **Context:** what made the problem urgent right now?

For Businesses (Firmographics)

- Industry and operating model
- Company size and revenue
- Location and regulatory exposure
- Technology maturity and budget

"Businesses" Is Still Too Broad

Categorizing by sector is a starting point, not a finish line. Within any single label, buying behavior varies dramatically.

Retail

A five-person sari-sari store and a 200-person retailer are both MSMEs — but they buy completely differently.

Education

A private school, public school, and tutorial center all operate in education but have different budgets, decision processes, and priorities.

Agriculture

An independent farmer, a cooperative, a commercial farm, and a government program are four separate markets — not one.

Segment = Who they are + situation they're in + problem they face + behavior they currently exhibit.



Consumer Decisions: The Key Questions

Who Experiences It?

Identify who actually lives with the problem day to day — they are often not the buyer.

Who Pays?

The payer and user are frequently different people, especially in family, healthcare, or education contexts.

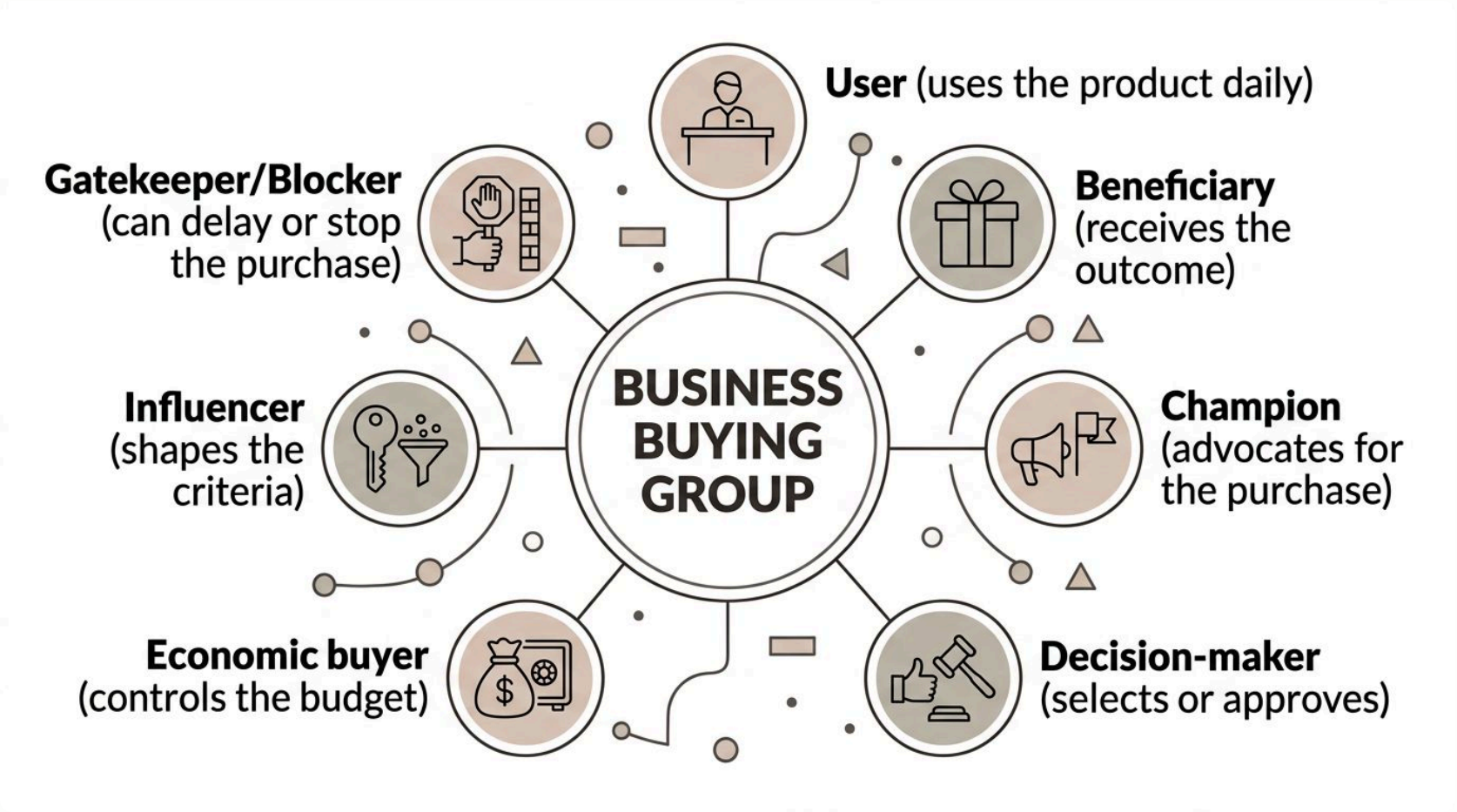
What Triggers the Decision?

A specific event, season, frustration, or life change that creates urgency and opens the purchase window.

What Feels Risky?

Fear of wasting money, choosing wrong, or disrupting what currently works — these all slow or block purchase.

Business Decisions: Meet the Buying Group



A company does not make a decision. **People inside the company** make decisions using its processes, incentives, budgets, and constraints. Knowing who they are is non-negotiable.

When the Beneficiary and Buyer Differ

For many ventures — especially in social sectors — the person who benefits is rarely the person who pays. This gap changes everything about your sales approach.

1

Education

Student benefits → Parent or school pays

2

Healthcare

Patient benefits → Caregiver, clinic, or LGU pays

3

Agriculture

Farmer benefits → Cooperative or institutional program pays

4

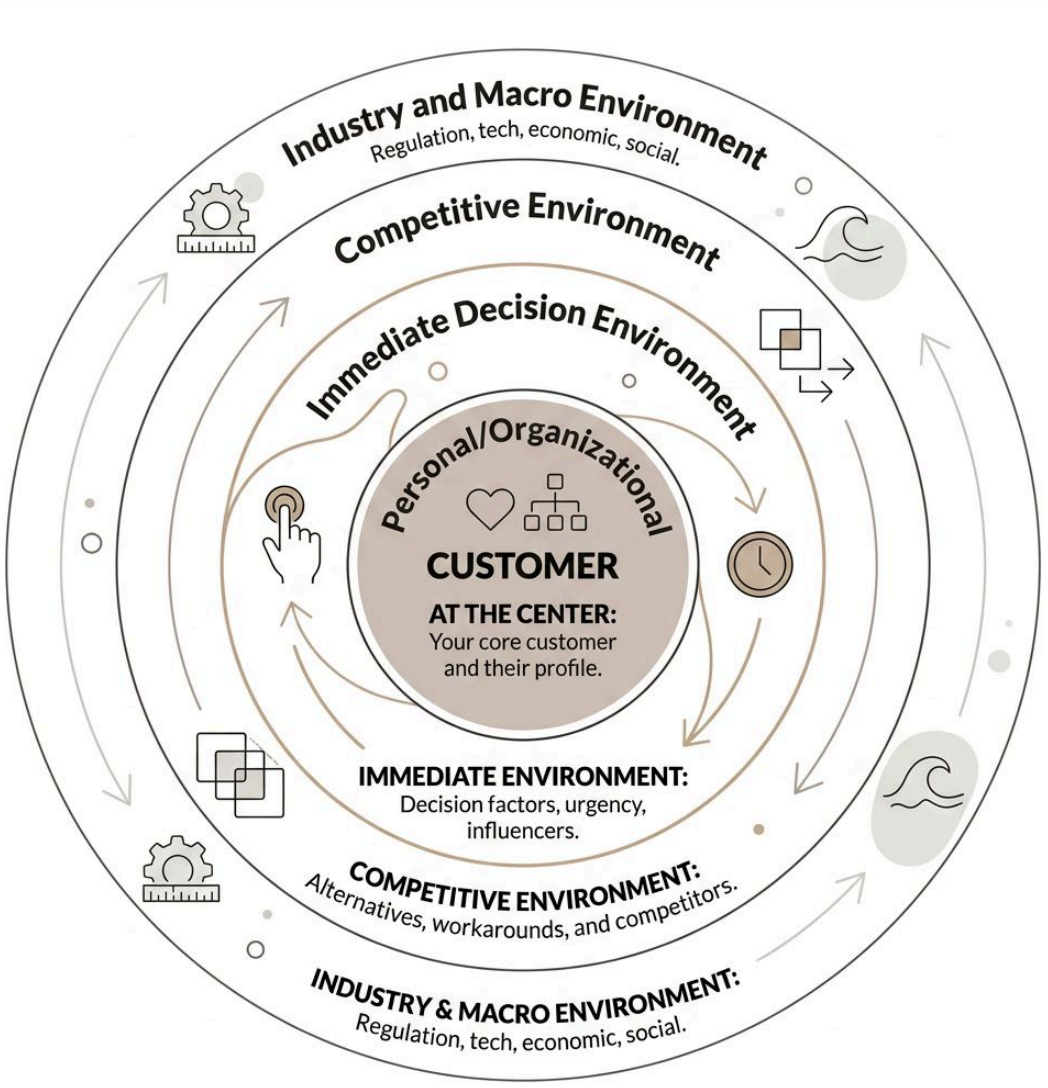
Workforce

Employee benefits → Department, IT, or procurement pays

The Four Environments Around Every Decision

No customer decides in a vacuum. Four concentric layers of context shape every purchase — map them before you build your go-to-market.

Competitor analysis and PESTLE belong here — but only after the customer is clearly identified, and only when a macro force materially changes demand, willingness to pay, or your ability to operate.



PESTLE Analysis

- **P**olitical: Government policies, tax regulations, and trade restrictions.
- **E**conomic: Inflation, interest rates, and economic growth.
- **S**ocial: Cultural trends, demographics, and consumer behavior.
- **T**echnological: Innovation, automation, and R&D.
- **L**egal: Employment laws, consumer protection, and health and safety regulations.
- **E**nvironmental: Sustainability, climate concerns, and ecological regulations.

> PESTLE should not become six slides of facts about the Philippines. Include only the forces that materially change customer demand, willingness to pay, market access, or the venture's ability to operate.
>
> Every macro factor you cite should connect directly to a customer behavior, a cost structure, or a regulatory constraint that your venture must actively navigate



TAM, SAM, and SOM — Defined Clearly

1

TAM — Total Addressable Market

Everyone who could plausibly need and pay for this type of solution. A theoretical ceiling.

2

SAM — Serviceable Addressable Market

Customers your present product, geography, price, distribution, and business model can realistically serve.

3

SOM — Serviceable Obtainable Market

Customers you can actually reach, acquire, and support within a defined period. This is your real target.

First Viable Market: Your Survival Threshold

Before chasing share, calculate the minimum number of customers needed for your venture to operate, learn, and survive.

The Formula

Fixed Operating Costs ÷ Contribution Per Customer = Minimum Viable Customer Volume

---

Example

- Annual operating cost: ₱1.2 million
- Contribution per customer: ₱20,000
- **Minimum viable volume: 60 active customers**

Then Ask Five Questions

1. Do 60 suitable customers exist?
2. Can we identify them specifically?
3. Can we reach them affordably?
4. Can we convert them within timeline?
5. Can we serve them well enough to retain them?

Competition Is About Alternatives — *All of Them*

Direct Competitor

Similar solution targeting the same customer with the same job-to-be-done.

Indirect Competitor

Different solution addressing the same underlying problem or need.

Internal Workaround

Spreadsheets, paper, messaging apps, manual effort — familiar and trusted.

Inaction

Living with the problem. Often the most common — and most underestimated — competitor.

⚠ The most dangerous competitor is usually what the customer already does and understands today — not another startup.



Comparing Competitors on What Actually Matters

Use the customer's real decision criteria — not a generic feature checklist. Identify the two or three criteria that genuinely determine the purchase decision, then map yourself honestly against them.

Customer Criterion	Current Alternative	Competitor	Your Offer
Cost	Low / known	Moderate	Competitive
Convenience	High familiarity	Medium	Higher
Trust	Established	Building	To establish
Speed	Slow but predictable	Faster	Fastest
Switching Effort	None	Medium	Low by design



Positioning: The Best Option for a Specific Situation

> Position your business, product, or offer in the customer's mind as the best option for a specific situation — not the best option for everyone.

The positioning formula: For *[specific customer]* who needs to *[job/problem]*, our offer is the *[category or type of solution]* that provides *[most important outcome]*. Unlike *[current alternative]*, we *[credible point of difference]*.

What Does "Best" Actually Mean?

"Best" must be defined by the target customer's actual decision criteria — not yours. Choose the dimension where you are genuinely superior and make that the center of your positioning.



Cheapest

Lowest total cost of acquisition and ownership for budget-constrained buyers.



Safest / Most Compliant

Lowest regulatory or reputational risk for risk-averse decision-makers.



Fastest to Implement

Shortest time from decision to value — critical when urgency drives the purchase.



Most Trusted / Accessible

Lowest perceived risk of failure or abandonment — decisive for first-time buyers.

The Seven-Question Market Readiness Check

If your team cannot answer all seven, you have a market hypothesis — not a market analysis.

1. **Name one real prospective customer.**
   Not a category. A specific, identifiable person or organization you have spoken with or could contact today.

2. **Identify 20 more who resemble them.**
   Repeatability is what separates a customer from a market. Can you list them?

3. **Who uses, pays, influences, and decides?**
   Map the full buying group — even for a simple consumer product, there is usually more than one person involved.

4. **What triggers the purchase?**
   Identify the specific event or condition that opens the window for a buying decision.

5. **What does the customer do today?**
   Understand the current alternative in full — this is your real competition, not a hypothetical rival.

6. **How many customers must you win to survive?**
   Calculate your First Viable Market using real cost and contribution data.

7. **Why would they choose you over their current alternative?**
   State your credible, specific point of difference — grounded in their actual decision criteria.

One-Page Team Exercise

Complete this framework during or immediately after the session. Leaving any field blank is a signal — not a failure. It shows where your next round of customer discovery should focus.

Customer

- Our first customer segment is:
- They are in this specific situation:
- Their most important problem/job is:
- Their current alternative is:

Decision

- User / Buyer / Decision-maker:
- Influencer or blocker:
- Purchase trigger:
- Most important decision criterion:

Market

- Number of identifiable eligible customers:
- Revenue or contribution per customer:
- Minimum customers required to survive:
- Reachable customers in next 12–24 months:
- Evidence supporting these numbers:

Positioning

Customers should choose us instead of _____ because _____.

Choose the right customer. Understand the decision. Design the better offer.

A venture gains leverage not by having the biggest market, but by understanding one customer's decision better than any competitor — and building an offer that is clearly preferable in that specific situation. Start there. Everything else follows.

Right Customer

Specific, reachable, and willing to act now.

Right Decision

Understood more deeply than any alternative provider.

Right Offer

Clearly preferable on the criteria that actually matter to this customer.

